

United States of America.

The Soviet Union had ceased to exist. China had joined the capitalists. And George W. Bush told the graduating class of the U.S. Military Academy at West Point that America was the world's "single surviving model" for a successful system.¹ It was so successful, in fact, that Francis Fukuyama thought it might signal an "end of history." What more work had history to do? Perfection had already been attained. The United States was dynamic and flexible. Its democratic political system could adapt to whatever changes and challenges it confronted. Its capitalistic economic system could push ahead on every front. And its scientists and innovators were discovering new things at a breathtaking rate. History could pack up and go home.

You remember Moore's Law? It told us that computing power would double every 18 months. And with computers came not just a new world but a better world. Innovators could innovate faster. They had all the world's knowledge at their fingertips. There would be no more reason for error—darkness and sin would be banished from Planet Earth. We would all be smarter, richer, and healthier forever and ever. Amen!

What could go wrong? Well, so far, everything.

For starters, in 2001, a tiny group of fanatics brought down two New York skyscrapers and caused the Pentagon to panic—a very self-serving panic, we should add: Defense contractors have made billions in profits out of the Pentagon's hysteria. Since then, the United States has spent \$8 trillion fighting "terrorism," easily the worst military investment in world history. For every single "terrorist" killed, the United States spent billions, to say nothing of the soldiers and civilians who died.

Then the digital revolution was a flop, too. An enormous flop. Millions of people may be using the World Wide Web, looking at photos of congressional crotches or planning the next "flash riot," for example. Hundreds of people may have become billionaires by selling electronic devices and Internet stocks to the masses. But how much has the Internet contributed to the wealth of nations? Apparently, not a damned thing.

At least as measured by GDP results.

Nowhere was the Internet revolution more focused than in the United States. Nowhere did people have higher hopes for it. And nowhere were the